Instructor Guide

NELLEN, YOUNG, CRIPE, LASSAR, PERSELLIN, CUCCIA, CORPORATIONS, PARTNERSHIPS, ESTATES & TRUSTS 2026, 9798214044033; CHAPTER 18: THE FEDERAL GIFT AND ESTATE TAXES

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CHAPTER OBJECTIVES

The following objectives are addressed in this chapter:

18.1 Explain the nature of the Federal asset transfer taxes.

18.2 Describe and analyze the Federal gift tax formula.

18.3 Describe and analyze the Federal estate tax formula.

18.4 Illustrate the operation of the Federal gift tax.

18.5 Calculate the Federal gift tax liability.

18.6 Identify the components of the gross estate.

18.7 Describe the components of the taxable estate.

18.8 Calculate the Federal estate tax liability.

18.9 Review and demonstrate the role of the generation-skipping transfer tax.

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CHAPTER OUTLINE

In the outline below, each element includes references (in parentheses) to related content. "CO CH.##" refers to the chapter objective; "PPT Slide #" refers to the slide number in the PowerPoint deck for this chapter (provided in the PowerPoints section of the Instructor Resource Center); and, as applicable for each discipline, accreditation or *certification standards (“BL 1.3.3”). Introduce the chapter and use the Ice Breaker in the PPT if desired, and if one is provided for this chapter. Review learning objectives for Chapter 18 (PPT Slides 2–4).*

I. Transfer Taxes—In General (18.1, PPT Slides 8–14)

- i. Congress has applied a gift and estate tax on the right of individuals to determine who will receive their assets as the result of a legal transfer of title during life or at death.
  1. To keep well-endowed families from retaining “too much” wealth over the generations such that competition in the marketplace would become unfair.
  2. To increase the chances that all individuals pay a “fair share” of taxes to the government to support annual Federal expenditures.
- ii. In a typical year, about 3.1 million U.S. individuals die.
  1. About 2,100 estates file a Federal estate tax return showing an estate tax liability. About half of these returns are filed for residents of New York, Florida, Texas, and California.
  2. About 1,800 Federal gift tax returns are filed each year showing a gift tax liability.
  3. Total collections of Federal estate and gift tax revenues in 2023 were about $34 billion.

a. Nature of the Taxes

- i. The Code imposes a tax on an individual’s gratuitous transfer of property.
  1. If the transfer occurs during the owner’s life, it is subject to the Federal gift tax.
  2. If the property passes by virtue of the death of the owner, the Federal estate tax applies.
  3. If the recipient of the transfer is two or more generations younger than the person making the transfer, the separate generation-skipping transfer tax also applies.
  4. A unified transfer tax applies to all gratuitous transfers of assets by an individual, regardless of how or when the transfers are made.
  5. The gift, estate, and generation-skipping transfer taxes operate as a single, cumulative tax over the course of one’s lifetime.
- ii. Persons Subject to the Tax. The Federal gift tax is imposed on the right to transfer property by one person (donor) to another (donee) for less than full and adequate consideration.
  1. The tax is payable by the donor.
  2. If the donor fails to pay the tax when due, the donee may be held liable for the tax to the extent of the value of the property received.

3. The gift tax is assessed on the fair market value of the property as of the date of the gift.
4. The Federal estate tax is imposed on the right of a decedent to pass all property at death.
   (a) The administrator or executor of the estate is obligated to make sure the estate tax due is paid.
   (b) The tax is assessed on the fair market value of the property on the date of death (or on the alternate valuation date, if available and if elected).
5. To whom gift and estate taxes apply.
   (a) Both taxes are imposed on all citizens or residents of the United States. The location of the property transferred is immaterial.
   (b) For individuals who are not citizens or residents, the transfer taxes apply to tangible property located within the United States. Further, the estate tax applies to stock of U.S. corporations.
   (c) For further information regarding NRAs, see the Global Tax Issues feature on page 18-3 in the text.

iii. Types of Tax at Death. There are two types of death taxes.
1. Estate taxes are levied against the estate of a decedent.
2. Inheritance taxes are imposed upon the heirs. Some states and other countries impose an inheritance tax, but it is not part of the Federal tax structure.

iv. Formula for the Gift Tax. (18.2, PPT Slides 15–17) Concept Summary 18.1 in the text outlines the formula for the gift tax and its chief deductions and exclusions.
1. Because Congress did not intend for the gift tax to apply to smaller transfers, it provided for an annual exclusion, which reduces the taxable gift to zero when a small amount is involved.
2. The exclusion amount periodically is adjusted for significant inflation. For 2025, the exclusion is $19,000 ($18,000 in 2024).

v. Formula for the Federal Estate Tax. (18.3, PPT Slides 18–26) When a decedent transfers property as a result of death, the Federal estate tax can apply.
1. As a simplifying assumption, a flat 40% tax rate applies to the taxable estate—the fair market value of property owned or controlled by the decedent at the date of death, minus various deductions.
2. The unified transfer tax credit applies against this tax.
3. More deductions are allowed against the estate tax than can be used in computing the gift tax, as illustrated in Concept Summary 18.2 in the text.

4. The tax on generation-skipping transfers (GSTT) acts as a penalty for passing assets to certain younger individuals.
5. The chief purpose of the GSTT is to prevent families from transferring assets to much younger members, so as to reduce the present value of the transfer tax on the older generation's asset accumulations.

vi. The Unified Transfer Tax Credit. The purpose of the unified transfer tax credit is to allow donors and decedents to transfer specified amounts of wealth without being subject to current gift, estate, and GST taxes.

1. Exhibit 18.1 in the text shows the exclusion amount applicable to taxable asset transfers for the past few years. The exclusion amount is subject to annual indexation from its statutory amount of $10 million.
2. The exclusion amount (also termed the exemption equivalent and the bypass amount) is the amount of the transfer that passes free of the gift or estate tax by virtue of the credit.
3. Because the Federal transfer taxes are unified and cumulative in effect, these amounts are available to an individual only once during their lifetime.
4. If a spouse dies without using all of their unified credit, the executor of the estate can make an election to transfer any unused exemption from gift or estate taxes of the deceased spouse to the surviving spouse.

b. Valuation Issues

i. Property valuation for transfer taxes is generally determined on the date of transfer (i.e., the date of the gift or of death). Under certain conditions, however, an executor can elect to value estate assets on the alternate valuation date.

1. The alternate valuation date election is meant to relieve hardship when assets decline after the date of death. It is the earlier of six months after date of death or the distribution date.
2. The election covers all assets in the gross estate and cannot be applied to only a portion of the property.
3. The election of the alternate valuation date must decrease the value of the gross estate and decrease the estate tax liability.

c. Key Property Concepts

i. The form of ownership is important when property is transferred by gift or death.

ii. Separate and Joint Asset Ownership. When the individual who holds title to the asset passes the title to the asset to another party, during lifetime or at death, a gift or bequest may occur, and a Federal transfer tax may apply.

1. Ownership as joint tenants or tenants by the entirety provides the right of survivorship. Property so held belongs entirely to the survivor.
2. Ownership as tenants in common or as community property is not defeated by death. Property so held will pass to the decedent's estate or heirs upon death.
3. Community property interests work such that all income earned during the marriage and any property acquired after marriage, except by gift or inheritance, are owned by the spouses "50-50".

II. The Federal Gift Tax (18.4, PPT Slides 27–44)

a. General Considerations
   i. A gift occurs when one party takes ownership of an asset without providing full and adequate consideration to the other party.
   ii. Requirements for a Gift. The following elements are necessary for a gift to have taken place:
      - A donor competent to make the gift.
      - A donee capable of receiving and possessing the property.
      - Donative intent on behalf of the donor.
      - Actual or constructive delivery of the property to the donee or donee's representative.
      - Acceptance of the gift by the donee.
   iii. The Federal gift tax does not apply to transfers that are incomplete. Thus, if the transferor retains the right to reclaim the property or has not really parted with the possession of the property, a taxable event has not taken place.
   iv. Valuable consideration does not include a payment or transfer based on "love and affection" and the like. Property settlements in consideration of marriage (i.e., pre- or antenuptial agreements) are regarded as gifts.
   v. Excluded Transfers. Transfers excluded from the application of the Federal gift tax include the following:
      - Transfers to political organizations.
      - Direct payment of another's tuition or medical care. The beneficiary need not be a dependent of (or even related to) the taxpayer.
        Example: The IRS has ruled that grandparents' payments of tuition at a private school on behalf of a grandchild are covered by this exclusion. No gift results.
      - The satisfaction of an obligation of support does not constitute a gift. What constitutes the obligation of support is determined by state law.
        Example: A father pays for his 21-year-old daughter's apartment rent while she attends college. No gift results.
        Example: A father makes a $40,000 down payment on a

residence purchased by his 30-year-old daughter and her husband. A gift results.
Example: Adult children may have an obligation of support to their indigent parents.

vi. Lifetime versus Deathtime Transfers. Lifetime gifts (*inter vivos*) and deathtime (testamentary) transfers have different treatment and thus must be distinguished. (See Example 11 in the text.)
   1. A payable on death (POD) designation is a form of ownership frequently used in a family setting when investments are involved.
   2. The POD designation can be simpler to use than a will or trust arrangement.

b. Transfers Subject to the Gift Tax
   i. Property Settlements in Divorce. Property settlements of marital rights (divorce) are not subject to the Federal gift tax if made within three years of a final divorce decree. (See Example 12 in the text.)
   ii. Disclaimers. A disclaimer is a refusal by a person to accept property that is designated to pass to them. The effect of the disclaimer is to pass the property to someone else.
      1. To be effective in avoiding gift taxes, the following conditions must be met:
         - The disclaimer must be in writing.
         - The disclaimer must be executed no later than nine months after the right to the property arose.
         - The person making the disclaimer must not have accepted any benefits or interest in the property during the nine-month period.
      2. A disclaimer can apply to all, or only a part of, the property involved. Compare Examples 13 and 14 in the text.
   iii. Other Transfers Subject to Gift Tax. Other transfers that may carry gift tax consequences (e.g., the creation of joint ownership) are discussed and illustrated in connection with the Federal estate tax.
   iv. Income Tax Considerations.
      1. Generally, a donor incurs no Federal income tax consequences on making a gift.
      2. A donee recognizes no income on the receipt of a gift.
      3. A donee's income tax basis in the property received depends on a number of factors.

c. Annual Gift Tax Exclusion
   i. The first $19,000 of gifts made to any one person during any calendar year is excluded in determining the total amount of taxable gifts for the year.
      1. An annual exclusion applies to all gifts of a present interest (the unrestricted right to the immediate use, possession, or

enjoyment of the property or the income currently) made during the calendar year and not to gifts of a future interest (the right that comes into existence at some future date). (See Examples 15 and 16 in the text.)

2. If a possibility exists that the income beneficiary may not receive the immediate enjoyment of the property, the transfer is of a future interest.

ii. Contributions to Qualified Tuition Programs. Qualified tuition plans (§ 529 plans) reflect the best of all possible tax worlds.

1. Although plan contributions are not deductible when made, income accumulates tax-free and distributions are not subject to income tax (if used for educational purposes). Some states allow deductions for contributions to their own plans.
2. The grantor can claim up to five years of annual exclusions per donee for contributions. (See Example 18 in the text.)
3. No estate tax results if the grantor dies during the existence of the plan.

d. Deductions

i. In arriving at taxable gifts, a deduction is allowed for transfers to certain qualified charitable organizations and a marital deduction is allowed for transfers between spouses.

e. Computing the Federal Gift Tax (18.5, PPT Slides 45–54)

i. The gift tax rate is a flat 40% for most transfers made by U.S. citizens and residents.

ii. The Election to Split Gifts by Married Persons. For the gift-splitting election, individuals must be legally married when the gift is made. It, thus, doubles the annual exclusion to $38,000 rather than $19,000. (See Examples 19 and 20 in the text.)

f. Procedural Matters

i. The Federal Gift Tax Return. Form 709 must be filed whenever the gifts for any one calendar year exceed the annual exclusion or involve a gift of a future interest.

1. The Form 709 also must be filed when the election to split gifts is made by the nonowner spouse. (See Example 22 in the text.)
2. A Form 709 need not be filed, however, for transfers between spouses that are offset by the unlimited marital deduction, regardless of the amount of the transfer. Filing is necessary if spouses want to elect to split gifts as discussed above.
3. The return due date is April 15 of the year following the year of the gift regardless of the taxpayer's income tax year-end.
4. Federal gift tax provisions are reviewed in Concept Summary 18.3 in the text.

III. The Federal Estate Tax

i. The discussion of estate tax applies the formula shown in Concept Summary 18.2 in the text. The key components in the formula are the gross estate, the taxable estate, and the credits allowed against the tentative tax.

a. Gross Estate (18.6, PPT Slides 55–67)
    i. The gross estate includes the net assets owned and controlled by the decedent as of the date of death.
    ii. The probate estate consists of all of the decedent's property passed to heirs under a will or law of intestacy (when there is no will).
        1. Probate estate is generally smaller than the gross estate.
        2. Probate estate is determined by state law and states provide an order of distribution in the event that someone dies intestate (without a will).
    iii. Property Owned by the Decedent. Property owned by the decedent at the time of death is included in the gross estate.
        1. It encompasses real, personal, tangible, and intangible assets wherever located.
        2. Examples of inclusions are the following:
            - Real estate holdings.
            - Present value of future royalty rights (e.g., patents, copyrights, and mineral interests).
            - Interests in a business (e.g., sole proprietorship and partnership).
            - Collectibles (e.g., works of art and coin collections).
            - Unmatured insurance policies on the lives of others.
            - Present value of settlements receivable from pending and potential lawsuits.
            - Certain transfers that occur in the three years before death, or are made during the lifetime but are effective only at death.

            Example: Andrew died 10 years ago leaving a trust worth $2,000,000, life estate to June (his surviving spouse), remainder to their children. June dies in 2025 when the value of the trust is $8,000,000. If Andrew's executor made the QTIP election 10 years ago, June's estate must include the $8,000,000 value of the trust. If not, June's estate includes nothing for trust (§ 2036 does not apply to June's life estate since she was not the grantor).
    iv. Revocable Transfers. Retaining the power to alter, amend, revoke, or terminate a transfer as well as changing beneficiaries will cause the transfer to be incomplete. A classic example is a revocable trust.

        Example: Jean creates a trust, life estate to Betty and Al, and remainder to Alice. Jean, however, retains the right to determine how the income from the trust will be allocated between Betty and Al.

Suppose Jean only reserves the right to decide whether the income is to be distributed to Betty and Al or accumulated and added to corpus (for the benefit of Alice).

Both of these trusts are included in Jean's gross estate upon death because Jean possesses "the right, either alone or in conjunction with any person, to designate the persons who shall enjoy the property or the income therefrom."

v. Joint Interests. The Federal estate tax treatment of tenancies in common or of community property follows the logical approach of taxing only the portion of the property that was controlled by the deceased owner's will.
   1. With joint tenants and tenancies by entirety, upon death, the property passes to the surviving tenant but with tenancies in common and community property, death does not defeat ownership. Part of the property is included in the deceased owner's estate.
      Example: At the time of his death, Homer has a one-third interest as a tenant in common in real estate worth $900,000. Presuming the alternate valuation date is not elected, $300,000 is included in Homer's gross estate. (See Example 27 in the text.)
   2. In the non-spousal situation, the full value of the property is included in the gross estate of the first tenant to die unless the surviving tenant proves contributions to the cost of the property.
   3. In the spousal situation, there is an automatic inclusion rule; regardless of which spouse furnished the consideration, one-half of the value of the property is included in the gross estate of the first spouse to die. The effect of marital deduction neutralizes the automatic inclusion rule. (See Example 32 in the text.)
   4. Whether a gift results when property is transferred into some form of joint ownership depends on the consideration furnished by each of the contributing parties for the ownership interest acquired.
   5. Exceptions to this rule occur with the creation of a joint bank account and with the purchase of U.S. savings bonds. In these situations, a gift occurs only when one owner withdraws more than their contributed share. (See Examples 35, 36, and 37 in the text.)

vi. Life Insurance. The term “life insurance” includes policies of various forms, group life insurance, and travel and accident insurance.

1. Life insurance on another’s life that is owned by a decedent is included in the gross estate. The amount includible is the replacement value of the policy.
2. Proceeds from the decedent’s life insurance are included in the gross estate if:
   - The policy’s proceeds are receivable by the estate.
   - The decedent possessed any of the incidents of ownership in the policy.
3. Proceeds of insurance on the life of the decedent not receivable by the estate are includible if the decedent at death possessed any of the incidents of ownership in the policy.
   (a) The term “incidents of ownership” means not only the ownership of the policy but also the right of the insured or their estate to the economic benefits of the policy.
   (b) It includes the power to change beneficiaries, pledge the policy for a loan, or surrender or cancel the policy.
4. See Concept Summary 18.4 in the text for a review of the components of the gross estate.
   Example: Olga purchases a policy on her life and designates Norman as the beneficiary. No gift takes place.
   Example: When Olga dies, the proceeds of the policy are paid to Norman. No gift occurs as the proceeds pass to Norman by testamentary transfer.
   Example: Olga gives the policy to Norman. A gift occurs. For determining the amount of gift, see Chapter 19 in the text.
   Example: Olga pays the premiums on the policy. Each premium payment is a gift.
   Example: Olga owns an insurance policy on the life of Norman with Tom as the designated beneficiary. Upon Norman’s death, the proceeds of the policy are paid to Tom. Olga makes a gift to Tom.

b. Taxable Estate (18.7, PPT Slides 68–77)

i. After the gross estate has been determined, the next step is to compute the taxable estate. The taxable estate is the gross estate minus a number of available deductions. Almost 90% of all estate tax deductions relate to asset transfers to a charity or surviving spouse.

ii. Expenses, Indebtedness, and Taxes. A deduction is allowed for:
   - Funeral expenses.
   - Administration expenses, including commissions of the executor or administrator, attorney’s fees of the estate, accountant’s

fees, court costs, and certain selling expenses for disposition of estate property.

- Claims against the estate, including property taxes accrued before the decedent's death, unpaid income taxes on income received by the decedent before they died, and unpaid gift taxes on gifts made by the decedent before death.
- Unpaid mortgages and other charges against the property.
- The decedent's unpaid pledge or subscription in favor of a charitable, religious, or educational organization is deductible to the extent that it would have been a deductible bequest.

iii. Losses. An estate tax deduction is allowed for casualty and theft losses if they occur while the estate holds the property. Such losses can be claimed either as a deduction on the estate's income tax return or as an estate tax deduction but not both.

iv. Transfers to Charity. A transfer tax deduction is allowed for the value of the decedent's gross estate property that is transferred by the decedent through testamentary disposition to (or for the use of) organizations that would qualify a donor for an income tax deduction, with the following chief exceptions:

- Certain nonprofit cemetery associations qualify for income tax but not transfer tax purposes.
- Non-U.S. charities may qualify under the transfer tax but not for the income tax.

v. Marital Deduction. The marital deduction allows spouses to arrange their financial affairs without Federal gift or estate tax consequences.

1. Assets can pass between spouses without any immediate gift or estate tax liability, with a deduction allowed to offset an otherwise taxable gift or estate amount.
2. The marital deduction is available to all married couples. Registered domestic partnerships, civil unions, and similar formal relationships are not marriages, so no marital deduction can be claimed.
3. Passing Requirement. The marital deduction is allowed only for property that is included in the deceased spouse's gross estate and that passes or has passed to the surviving spouse. (See Example 43 in the text.)
   (a) Property that passes from the decedent to the surviving spouse includes any interest received as, for example, (1) the decedent's heir or donee, (2) the decedent's surviving tenant by the entirety or joint tenant, or (3) the beneficiary of insurance on the life of the decedent.
   (b) Disclaimers can affect the amount passing to the surviving spouse.

(c) When a property interest passing to the surviving spouse is subject to a mortgage or other debt, only the net value of the interest after reduction by the amount of the debt qualifies for the marital deduction.

4. Terminable Interest Limitation. Certain interests in property passing from the deceased spouse to the surviving spouse are referred to as terminable interests.
   (a) A terminal interest occurs when the interest in the property fails by the passage of time or other event. The property is not included in the recipient's estate.
   Example: John places property in trust with a life estate to his wife, Fran, and the remainder upon Fran's death to their children.
   (b) Terminal interests given to the surviving spouse will not qualify for the marital deduction. This is to ensure that the property not taxed to the deceased spouse (due to the marital deduction) is subject to either gift or estate tax upon disposition by the surviving spouse.
   (c) Qualified terminable interest property (QTIP) is an alternative means for obtaining the marital deduction. The transferee-spouse is subject to a transfer tax when there is a disposition of the QTIP.
5. Citizenship and Residency of Spouses. In the case of a nonresident alien whose spouse is a U.S. citizen, the marital deduction is allowed for estate and gift tax purposes.
   (a) Property passing to a surviving spouse who is not a U.S. citizen is not eligible for the estate tax marital deduction.
   (b) No gift tax marital deduction is allowed where the spouse is not a U.S. citizen.
   (c) The annual exclusion for these gift transfers is $190,000 for 2025.

vi. State Taxes at Death. About a dozen states, and a number of cities, counties, and similar jurisdictions, levy taxes when property passes to another party because of the death of a decedent.
1. Taxes can be assessed at marginal rates of almost 20%, and the applicable exemption amounts typically are less than that for the Federal estate tax.
2. A deduction is allowed against the decedent's Federal taxable estate for estate and inheritance taxes paid to such jurisdictions.
3. The deduction for taxes paid to a state at death mitigates the effect of subjecting property to multiple taxes payable because of a death.

c. Estate Tax Credits (18.8, PPT Slides 78–89)

i. Credit for Tax on Prior Transfers. Successive deaths of family members over a short span of time may generate a significant amount of estate tax liability. To mitigate this possibility, a credit for prior estate taxes is available.
   1. The credit is limited to the lesser of the following amounts:
      - Federal estate tax attributable to the transferred property in the transferor's estate.
      - Federal estate tax attributable to the transferred property in the decedent's estate. (See Examples 48 and 49 in the text.)
   2. The credit is allowed when the property is subjected to Federal estate taxation "too soon" after it was taxed at the first death. Exhibit 18.2 in the text shows the relationship between the credit allowed and the time interval between the two deaths.

ii. Credit for Foreign Taxes Paid at Death. A credit is allowed against the estate tax for any estate, inheritance, legacy, or succession paid to another country. The credit is allowed for taxes also paid to possessions or political subdivisions of foreign countries and to U.S. possessions.

d. Procedural Matters
   i. The Federal estate tax return (Form 706) is due nine months after the date of the decedent's death.
      1. The time limit applies to all estates regardless of the nationality or residence of the decedent.
      2. Frequently, an executor will request and obtain from the IRS an extension of time for filing Form 706 (estate tax return).
      3. An automatic six-month extension of time to file the estate tax return can be claimed.
   ii. Concept Summary 18.5 in the text highlights the major components in arriving at the taxable estate and the mechanics of determining the estate tax liability.

IV. The Generation-Skipping Transfer Tax (18.9, PPT Slides 90–96)

a. Inter-Generational Transfers
   i. Previously, by structuring the transaction carefully, it was possible to bypass a generation or more of Federal gift and estate taxes.

b. The Tax on Generation-Skipping Transfers
   i. Congress enacted the generation-skipping transfer tax (GSTT) to preclude avoidance of either the estate or gift tax on each generation by making transfers that bypass the next lower generation.
      1. The GSTT is triggered by any of the following events: a taxable termination, a taxable distribution, or a direct skip.
         Example: GF (grandfather) creates a trust with a life estate to S (son) and the remainder to GD (granddaughter). Upon S's death,

a termination event occurs that is subject to the GSTT.
Example: GF (grandfather) creates a trust, income, and corpus payable to GS (grandson). Upon trust distributions to GS, a distribution event takes place that is subject to the GSTT.
Example: GM (grandmother) gives property to GS (grandson). This is a direct skip and is subject to the GSTT.
Example: GF (grandfather) dies and leaves property to GD (granddaughter). This is a testamentary direct skip and is subject to the GSTT.

2. The GSTT rate is the highest rate under the gift and estate tax schedules (now, 40%). The GSTT base is reduced by the same exemption equivalent amount that is available against the Federal estate and gift tax. (See Exhibit 18.1 in the text.)
3. The tax base also is reduced by the annual gift tax exclusion and the charitable and marital deductions.
4. Generations are assigned by birth or marriage.

V. Tax Planning

i. Tax planning techniques for the Federal gift, estate, and generation-skipping transfer taxes are discussed in Chapter 19 in the text in connection with family tax planning matters.

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